

Case Study - Tata Nano vs MG Comet:

- Why Positioning Matters More Than Price
- Some fail because the market never understood *who they were meant for*.
- The comparison between **Tata Nano and MG Comet** isn't about two small cars. It's about how **positioning shapes perception — and perception shapes demand**.

A Clear Vision, A Costly Narrative

The intent behind Tata Nano was admirable. Late **Mr. Ratan Tata** wanted to give Indian families a safer, four-wheeled alternative to two-wheelers. The vision was inclusive and forward-looking. But the execution focused heavily on one message: **“The world’s cheapest car.”**

That single narrative changed everything. In India, cars are not just transportation. They are **symbols of progress and identity**. When price becomes the primary USP, it often signals compromise — not value. Nano wasn't rejected for what it was, but for **what owning it said about the buyer**.

Why Price as a USP Rarely Works

In aspirational markets like India:

- Price is closely tied to income perception
- Buyers avoid products that publicly label them as “low cost”
- Emotional value often outweighs functional value

Affordability without aspiration creates hesitation — even among price-sensitive customers.

MG Comet: Same Segment, Sharper Positioning

MG Comet entered a similar compact space but told a very different story.

Instead of selling affordability, MG sold **identity**:

- Urban
- Youthful
- Tech-smart
- Conscious

The Comet isn't marketed as a compromise. It's positioned as a **deliberate lifestyle choice** — especially for young, city-based buyers.

The Strategic Lesson

People don't buy what they can afford. They buy what they aspire to belong to.

Nano tried to democratize mobility. Comet is democratizing aspiration. That difference defines their market outcomes.

Final Thought

Products don't fail because they're bad. They fail because their **positioning doesn't align with human psychology**.

As leaders and marketers, the real question isn't “*How cheap can we make it?*”

but

“*Who does this make our customer feel like?*”

That answer decides success.

